

NEW ZEALAND 2013

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

The provision of social security benefits in New Zealand is funded from general taxation and not specific social security contributions. Social security benefits for the unemployed are not funded from specific employee/employer contributions and there are no minimum working hours or earnings required in order for a person to be covered. All New Zealanders regardless of their employment history are covered by the benefits provided under the Social Security Act 1964. All benefits are payable without a fixed duration (although eligibility is reviewed on a regular basis and people receiving Unemployment Benefit have to reapply every 12 months). In addition to the specific qualifying criteria for each benefit, provision is subject to a New Zealand residence requirement and personal income (joint income in the case of married, civil union and de facto couples).

Working for Families Tax Credits (Family Tax Credit, In-Work Tax Credit, Parental Tax Credit and Minimum Family Tax Credit) are available to families with dependent children. Minimum Family Tax Credit provides a guaranteed minimum family income to working non-beneficiary families¹.

The tax unit is the individual but eligibility for Working for Families Tax Credits is based on combined family income (children's income is not counted except for passive income over \$500 per child²).

1.1. Average Worker wage (AW)

The 2013 AW level was NZD 53 234.

2. Unemployment insurance

In New Zealand there is no compulsory unemployment insurance.

3. Unemployment assistance

3.1 Conditions for receipt

A person is entitled to an Unemployment Benefit provided they are available and willing to undertake full time paid employment. A person must have resided in New Zealand continuously for at least two years and be at least 18 years old or 19 years old if they are a sole parent of one or more dependent children. They must not be in full time employment (defined as working 30 or more hours per week), but available for and taking reasonable steps to find suitable employment. These latter provisions are known as the "work test". A stand down period of between zero and two weeks is applied to new applicants. The length of stand down is determined by a formula which takes account of household structure and gross income in

¹ Working for Families Tax Credits are administered as transfer payments paid through the tax and benefit systems. They were renamed as "Working for Families Tax Credits" in 2007. See section 12.2 for details.

² Passive income refers to income the child may receive that they have not earned through their own efforts.

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either the 6 or 12 months prior to the date of benefit entitlement, whichever results in the shorter stand down³.

Striking workers and full time students are not entitled to the Unemployment Benefit.

3.1.1 Employment conditions

If an applicant (or their work tested partner) has left their job of their own free will, without a good and sufficient reason, an ineligibility period of 13 weeks is applied from the date their employment ceased.

3.1.2 Contribution conditions

None.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Entitlement is based on the family, not the individual. Each partner of a married, civil union or de facto couple usually receives half of the total benefit but their benefit can be differently apportioned in some circumstances.

Unemployment Benefit rates as at 1 April 2013	
<i>Family type</i>	<i>Gross rate (NZD per four weeks)</i>
Single 18-19 at home	614.40
Single 18-19 away from home	768.00
Single 20-24	768.00
Single 25 and over	921.60
Sole parent	1340.72
Married, civil union or de facto couple (with or without children)	1536.00

3.2.1.1 Irregular additional payments

There is a range of payments or advances available to provide assistance in a financial crisis, including special needs grants, advance payments of benefit, recoverable assistance, or temporary additional support. The amounts available depend on individual circumstances and needs.

3.2.1.2 Obligations of family members

Work test obligations apply to the partners of people receiving the unemployment benefit where there are no dependent children or where the youngest child is 14 years of age. Where partners have a youngest

³ This came into effect on 2 July 2007.

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child aged 5 years or over but under 14 years part-time work test obligations apply. No work test obligations apply to partners with a youngest child under 5 years.

Where a couple with children have an additional dependent child while receiving a benefit, the partner's work obligations will be based on the age of the next youngest dependent child, but with work obligations deferred until the newborn reaches twelve months of age.

If the partner fails without good and sufficient reason to comply with their work test obligations, the unemployment benefit may be stopped.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Net Unemployment Benefit payments are abated at a rate of 70 cents for each dollar after NZD 80 gross weekly earnings before tax. The unit of income assessment is personal income for single people, or joint income for married, civil union and de facto couples.

3.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment Benefit is taxable with each spouse receiving half of the benefit entitlement for taxation purposes.

3.4 *Benefit duration and waiting periods*

People receiving Unemployment Benefit are required to re-apply for the benefit every 12 months and undergo a comprehensive work assessment at the time of re-application.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

There is no unemployment assistance for people under 18 years old (19 years old if they are a sole parent). Unemployed 16 and 17 year olds who have lost the support of or are financially independent of their parents may be entitled to an Youth Payment. Young persons aged 16 to 18 years with their own dependent children may be eligible for a Young Parent Payment.

3.5.2 *Older workers*

Universal Superannuation is payable from age 65. There is no compulsory retirement age.

3.5.3 *Others if applicable*

There are a range of work test exemptions that can be applied. For example a client (or partner) serving a sentence of home detention can be exempted from the work test for this period.

Pregnant jobseekers may be exempt from their work test obligations from the day they provide proof of pregnancy from a health professional. Once the jobseeker is 27 weeks pregnant they can be transferred to Sickness Benefit.

A person who is sick, injured or disabled may be eligible to receive an Invalid's Benefit or a Sickness Benefit. Invalid's Benefit is not work tested. People on Sickness Benefit who are regarded as having the

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capacity to work part-time⁴ may be required to meet a part-time work test. Partners of people receiving Invalid's or Sickness Benefits may be subject to a work test depending on their circumstances.

Unemployed sole parents and caregivers may be entitled to a Domestic Purposes Benefit (see section 9).

4. Social assistance

None.

5. Housing benefits for rented accommodation

5.1 Conditions for receipt

Accommodation Supplement provides assistance towards accommodation costs, including private rent, board and home ownership costs. A person does not have to be receiving a benefit to qualify for Accommodation Supplement.

5.2 Calculation of benefit amount

The calculation of the Accommodation Supplement is based on actual accommodation costs.

5.2.1 Calculation of gross benefit

Accommodation Supplement provides for 70 per cent of accommodation costs above the entry threshold, up to a maximum amount.

- The entry threshold is 25 per cent of a person's net rate of benefit (30 per cent if they own their own home) plus the first child rate of Family Tax Credit for people with children.
- For non-beneficiaries, the entry threshold is 25 per cent of the relevant net Unemployment Benefit (30 per cent if they own their own home) plus the first child rate of Family Tax Credit for people with children.

Accommodation Supplement payments are capped according to median rents in different parts of the country. For example a greater maximum amount of Accommodation Supplement is available in Auckland, reflecting the higher accommodation costs in that city.

Accommodation Supplement weekly maxima as at 1 April 2013 (NZD)				
<i>Family type</i>	<i>Area 1</i>	<i>Area 2</i>	<i>Area 3</i>	<i>Area 4</i>
1 person	145	100	65	45
2 people	160	125	75	55
3 or more people	225	165	120	75

*Note there was no change to the weekly maxima between 2012/13

⁴ Part-time work is defined in the Social Security Act 1964 as work that averages not less than 15 hours a week when calculated over a period of the preceding three months. Full-time work is defined as work of no less than an average of 30 hours a week.

5.2.2 *Income and earnings disregards*

Beneficiaries do not have their Accommodation Supplement abated. Non-beneficiaries have their Accommodation Supplement reduced by 25 cents for each dollar of gross income above the relevant income threshold shown below.

Accommodation Supplement income thresholds for non-beneficiaries as at 1 April 2013	
<i>Family Type</i>	<i>NZD per four weeks</i>
Single 16 + years	1500
Married, civil union or de facto couple without children	2284
Married, civil union or de facto couple with children	2284
Sole parent with one or more children	2008

A cash assets test is also applied. Single beneficiaries without dependent children cannot receive an Accommodation Supplement if they have assets exceeding NZD 8 100. The asset limit for beneficiary couples and beneficiaries with dependent children is NZD 16 200.

Single non-beneficiaries have every NZD 100 of their cash assets over NZD 2 700 treated as NZD 1 per week income for Accommodation Supplement abatement purposes. Non-beneficiary couples and non-beneficiaries with dependent children have every NZD 100 of their cash assets over NZD 5 400 treated as NZD 1 per week income for abatement purposes.

* Note: there has been no change to the cash asset test for AS.

5.2.3 *Costs eligible for housing benefits*

Rent, board and home ownership costs are all eligible costs for housing benefits. Home ownership costs can include mortgage payments, rates including water rates, home and mortgage protection insurance and essential repairs and maintenance.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

5.4 *Treatment of particular groups*

Tenants who live in a state house receive an Income Related Rent subsidy, and are not eligible for an Accommodation Supplement. People receiving an Income Related Rent subsidy pay 25 per cent of their net income in rent.

5.4.1 *Young persons*

Young people aged 16-17 years are not eligible to receive an Accommodation Supplement unless they are financially independent.

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5.4.2 *Older workers*

People receiving New Zealand Superannuation or Veterans Pension cannot receive an Accommodation Supplement if they have other income exceeding the appropriate income limit.

5.4.3 *Others if applicable*

Generally students studying full-time cannot access Accommodation Supplement but may receive an Accommodation Benefit if they qualify for a Student Allowance.

6. **Family benefits**

6.1 *Conditions for receipt*

Family Tax Credit is available to families with dependent children.

- Beneficiary families are paid Family Tax Credit weekly or fortnightly with their benefit.
- Family Tax Credit is paid to non-beneficiary families by the Inland Revenue Department, either weekly or fortnightly, (with an end of year “square up”) or in one lump sum at the end of the tax year.

Non-beneficiary families may also be entitled to other Working for Families Tax Credits (see section 10.1.1.2 below).

6.2 *Calculation of benefit amount*

Family Tax Credit rates depend on the number of children, the age of the children and family income.

6.2.1 *Calculation of gross benefit*

Gross Family Tax Credit rates as at 1 April 2013 (NZD per four weeks)	
<i>Family Type</i>	<i>NZD per four weeks</i>
First or only child aged 0-15 years	370.92
First or only child aged 16-18 years	407.92
Second or subsequent child aged 0-12 years	257.76
Second or subsequent child aged 13-15 years	294.00
Second or subsequent child aged 16-18 years	365.00

Note: the Family Tax Credit rates did not increase in April 2013.

6.2.1.1 *Irregular additional payments*

Nil.

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6.2.2 *Income and earnings disregards*

Each dollar of gross income in excess of NZD 36,350 reduces Family Tax Credit by 21.25 cents⁵.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

6.4 *Treatment of particular groups*

None.

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable*

None.

7. **Early childhood education and care for pre-school children**

As at 1 July 2013 there were an estimated 201,000 enrolments in licensed early childhood education (ECE) services, with 123,000 of these in the 3-4 years age group.⁶

Schooling is compulsory at the age of six in New Zealand, although the majority of children start school immediately after their fifth birthday (around 2,000 or 1% of all ECE enrolments are for five year-olds).

From 1 July 2007 all three and four year old children enrolled in early children education services offering 20 Hours ECE were able to attend services for up to six hours a day, and up to 20 hours a week, at no charge. From July 2010, this was extended to include five year olds. Early childhood education services include teacher-led early childhood education services, and parent-led early childhood education services such as kohanga reo and playcentres. Government provides funding to services for 20 hours ECE at a level designed to meet average sector costs. Services opting into this scheme are not permitted to request compulsory charges from parents, but may request optional charges or donations especially where they offer additional features above and beyond the regulated requirements for ECE provision. Services can charge fees to parents for children enrolled outside of the 20 hours ECE programme, including those aged under 3, or enrolled for more than 20 hours a week.

⁵ This change came into effect on 1 April 2012.

⁶ Source: July 2011 annual census of children and staff at licensed and/or chartered early childhood education (ECE) services and license-exempt playgroups, conducted by the Ministry of Education. www.edcounts.govt.nz. The figures for 2012 are not available until late 2012 or early 2013.

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Another funding stream available is equity funding which provides additional targeted funding to some early childhood education services. Equity funding is an 'add-on' to the early childhood bulk funding subsidy. It is targeted to licensed early childhood education services:

- in low socio-economic communities
- that may have significant numbers of children with special education needs or from non-English speaking backgrounds
- in isolated areas
- that are based on a language and culture other than English (including sign language).

The objectives of equity funding are to:

- reduce educational disparities between different groups in New Zealand communities
- reduce barriers to participation faced by those groups that are under represented in Early childhood Services
- support Early childhood services to raise their level of educational achievement.

In addition to 20 Hours and Equity funding, the Government provides the ECE Funding subsidy. The ECE Funding Subsidy is the primary form of government funding for licensed ECE services. The ECE Funding Subsidy contributes to services' operating costs by paying for part of each hour each child spends in ECE, to a maximum of six hours per child-place per day, 30 hours per child-place per week (i.e. seven days).

For more information on ECE funding see the Funding Handbook;

<http://www.lead.ece.govt.nz/ManagementInformation/Funding/FundingHandbook.aspx>

7.1 Out-of-pocket early childhood education and care fees paid by parents

Full-time early childhood education and care

Government provides universal funding of between NZD 3.35 and NZD 12.99⁷ per hour per child to assist with the cost of early childhood education and care. The payment is made by the Ministry of Education direct to the provider of the service and varies according to the age of the child (under 2 or 2 and over), the type of service, and the proportion of regulated teaching staff who are ECE qualified and registered.

A 2011 survey of ECE providers estimated the parental charges in 2011. The values in the table below show the midpoint estimates of the average parental charges per hour in Education & Care from the survey in NZD:

	Education & Care	Kindergarten	Home-based	Playcentre
Under two year olds	5.55	5.83	0.37	4.86
Two years and over (excl. 20 Hours ECE)	5.26	3.13	5.81	0.44
20 Hour ECE -	0.34	0.13	0.18	0.26

⁷Source: ECE: Funding handbook: Appendix one. <http://www.lead.ece.govt.nz/>

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optional charges				
20 Hours ECE – parental charges for non-subsidised hours	6.06	2.95	5.83	4.88

Sources: Tables 5.4 and 5.5 from the Report on Income, Expenditure and Fees of Early Childhood Education Providers in New Zealand (2011).

In the modelling we use NZD 5.26 for two year olds (excluding 20 hours ECE), and NZD 6.06 for three years or older for non-subsidised hours in Education and Care from the above tables. We apply the CPI for ECE to inflate the charges to the level of June 2013 (7.13%) plus the Goods and Services Tax of 15%. On average across all licensed ECE providers, 75% of their income came from Government (including both Ministry of Education subsidy funding and Ministry of Social Development Childcare subsidy funding), 22% from parents, and 3% from other sources, such as fundraising and community grants.⁸

Part-time early childhood education and care

The fee subsidy is on paid on an hourly basis, eligibility does not change if childcare is used on a part-time basis.

7.2 Child-care benefits for formal centre-based care

7.2.1 Conditions for receipt

Childcare Subsidy is a non-taxable payment which assists low- and middle-income families to pay for their under five year old children (and some under six year olds) to attend licensed preschool facilities.

A person may be entitled to a Childcare Subsidy of up to 9 hours per week if they meet the income test. People who are in work related activities or undertaking training may access up to 50 hours Childcare Subsidy per week for the time they are engaged in those activities. The payment is made to the provider of the service on behalf of the parent.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

The following table shows Childcare Subsidy income abatement thresholds and maximum rates from 1 April 2013.

Childcare Subsidy income abatement thresholds and rates as at 1 April 2012 (NZD)		
<i>Number of children</i>	<i>Gross weekly income</i>	<i>Childcare Subsidy (per hour)</i>
1	Less than 1,200	3.93

⁸Ministry of Education (2012), *Income, Expenditure and Fees of Early Childhood Education Providers in New Zealand* <http://www.educationcounts.govt.nz/publications/ECE/income-expenditure-and-fees-of-ece-providers-in-new-zealand>

	1,200 - 1,299	2.74
	1,300 - 1,399	1.52
	1,400 or more	nil
2	Less than 1, 380	3.93
	1,380 - 1,489	2.74
	1,490 - 1,599	1.52
	1, 600 or more	nil
3 or more	Less than 1,540	3.93
	1,540 – 1,669	2.74
	1,699 – 1,799	1.52
	1 ,800 or more	nil

The benefit calculation is not changed if only part-time childcare is used.

7.2.2.2 *Income and earnings disregards*

Benefits are reduced according to gross income (see section 7.2.2.1).

7.2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

7.2.4 *Treatment of particular groups*

None.

7.3 **Child care allowance for children not using child care centres**

Childcare subsidy is only paid if the child is attending an approved early childhood programme. An early childhood programme⁹ means early childhood education provided by any of the following:

- A licensed early childhood service which includes:
 - early childhood education and care centres (e.g. day care centre, kohanga reo, Playcentre kindergarten)
 - home-based education and care service (e.g. Porse, Barnados)
 - hospital-based education and care service
- A playgroup that has been certified by the Ministry of Education (this means a playgroup is funded by the Ministry of Education and will meet certain standards)

And

⁹ www.minedu.govt.nz

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- For which a fee is charged for the children to participate in the programme

The childcare subsidy is **not** payable for childcare provided informally (for example through friends or family who are not licensed to provide home-based education and care service) or a childhood centre or service that is not approved and licensed.

The rules around the provision of the subsidy and the rates that are paid are the same for any of the above mentioned providers as outlined in 7.2.1 above.

8. Employment-conditional benefits

In-Work Tax Credit, Minimum Family Tax Credit and Parental Tax Credit are available only to non-beneficiary families. In-Work Tax Credit and Minimum Family Tax Credit require the parent (or at least one parent in the case of couples) to meet an hours of work test (see section 10).

9. Lone-parent benefits

9.1 Conditions for receipt

Sole parents 18 years or older may qualify for Domestic Purposes Benefit if they are the primary carer for a qualifying dependent child.

Domestic Purposes Benefit recipients with a youngest dependent child aged 14 years or older¹⁰ have to meet the full-time work test (see section 3.1). Those with a youngest dependent child aged five to 13 years have to meet a part-time work test. To meet the part-time work test obligations the sole parent must make themselves available for suitable work, training or other activities for at least 15 hours a week.

If a sole parent has an additional dependent child while receiving a benefit their work obligations are based upon the age of their next youngest child, with a deferral of obligations until their newborn reaches twelve months of age.

Domestic Purposes Benefit recipients with a youngest child under five participate in a planning process that promotes goal setting for the time when their circumstances allow them to successfully combine parenting and work. While most sole parent beneficiaries receive a Domestic Purposes Benefit, other benefits (Unemployment, Sickness and Invalid's) can also be paid at a sole parent rate.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

As at 1 April 2013 the weekly gross rate of the sole parent Domestic Purposes Benefit was NZD 335.18.

9.2.1.1 Irregular additional payments

As mentioned in 3.2.1.1 there are a range of payments or advances available to provide assistance in a financial crisis, including special needs grants, advance payments of benefit, recoverable assistance, or temporary additional support. The amounts available depend on individual circumstances and needs.

9.2.2 Income and earnings disregards

The net rate of Domestic Purposes Benefit is abated by 30 cents for each dollar of weekly earnings between NZD 100 and NZD 200. Earnings above NZD 200 per week abate the benefit by 70 cents for each dollar earned. The default is an annual income assessment, though the beneficiary may choose to have a weekly assessment.

¹⁰ Sole parents can continue to receive DPB-SP until the end of the school year in which their child turns 18.

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9.3 *Tax treatment of benefit and interaction with other benefits*

The Domestic Purposes Benefit is taxable.

9.4 *Benefit duration*

Sole parents lose eligibility for Domestic Purposes Benefit when their youngest dependent child turns 18 or at the end of the secondary school year in which their youngest child turned 18.

9.5 *Treatment of particular groups*

9.5.1 *Young persons*

Some 16 to 18 year old sole parents may be eligible for Young Parent Payment.

9.5.2 *Older workers*

None.

9.5.3 *Others if applicable*

None.

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10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

None.

10.1.1.2 Standard tax credits

Family Tax Credit

See section 6.

In-Work Tax Credit

In-Work Tax Credit is available to non-beneficiary families who normally work a minimum number of hours each week.

- A sole parent qualifies if they work at least 20 hours per week.
- A two-parent family qualifies if the two parents work a combined 30 hours per week.

In-Work Tax Credit is up to NZD 60 week per for families with up to three children, increasing by NZD 15 for each additional child after the third. Eligibility for In-Work Tax Credit also depends on family income.

Families receiving the following government transfers can still qualify for In-Work Tax Credit, provided the family works the required hours:

- NZ Superannuation
- Veteran's pension
- a foster, orphan's or unsupported child's benefit
- accident compensation for incapacity provided the person normally worked the required hours each week prior to their injury and had an accident after 1 January 2006
- paid parental leave or Parental Tax Credit provided the family worked the required hours before taking leave due to the birth of a child.

Minimum Family Tax Credit

Minimum Family Tax Credit is available to working non-beneficiary families.

- A sole parent qualifies if they work at least 20 hours per week.
- A two-parent family qualifies if the two parents work a combined 30 hours per week.
- Self-employed people are not eligible.

The Minimum Family Tax Credit was increased in April 2012. It ensures a minimum net income of NZD 434 per week (including ACC deduction, NZD 22,568 per annum) before Family Tax Credit and In-Work Tax Credit are included.

Parental Tax Credit

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Families may be entitled to a Parental Tax Credit of NZD 150 per week for the first eight weeks after they have a new baby. They cannot receive a Parental Tax Credit if they are receiving Paid Parental Leave.

10.1.2 *Income tax schedule (central government income tax)*

NZ income tax schedule	
<i>Gross taxable income as at 1 April 2011 (NZD per year)</i>	<i>Statutory tax rate (%)</i>
0 – 14,000	10.5
14,001 – 48,000	17.5
48,001 – 70,000	30.0
over 70,000	33.0

10.1.3 *State and local income taxes*

New Zealand has no state or local income tax.

10.2 *Treatment of family income*

Family members are taxed as individuals.

10.3 *Social security contributions and payroll taxes*

New Zealand has no compulsory social security contributions to schemes operated within the government sector.

It should be noted that there is an accident compensation scheme administered by the Accident Compensation Corporation for residents and temporary visitors to New Zealand. This scheme is funded in part by premiums paid by employees and employers. Employees pay a premium of 1.70 % of their gross earnings up to a threshold of NZD 113 768 in 2012-13. Employers pay a premium depending on their total payroll and their assessed accident risk (the average rate is 1.06%).

10.4 *Treatment of particular groups*

10.4.1 *Young persons*

10.4.2 *Older workers*

None.

10.4.3 *Others if applicable*

None.

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11. Part-time work

11.1 *Special benefit rules for part-time work*

People must be working less than an average of 30 hours per week to be eligible for Unemployment Benefit.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12. Policy developments

12.1 Policy changes *introduced: 2nd July 2012 – 1st July 2013 that are continuing to be have an effect*

In 2011 the Government announced its intention to undertake a major reform of the benefit system. The first of the proposed changes were contained in the Social Security (Youth Support and Work Focus) Amendment Act 2012 enacted on 26 July 2012.

The Youth Support package of changes that the Act introduced came into effect on 20 August 2012. These changes included:

- a new Youth Payment for 16 and 17 year olds with no dependent children. The Youth Payment replaces all the main benefits accessed by 16 and 17 year olds with the exception of the Invalid's Benefit, Emergency Benefit and Unemployment Benefit for students in hardship. Young people have to be in exceptional circumstances (unable to be supported by parents) unless they are married, in a civil union or de-facto relationship. Generally in order to be able to receive the Youth Payment a young person is required to be in, or available for, full time education, approved training or work based learning
- a new Young Parent Payment for 16 – 18 year olds with a dependent child or children. This payment replaced the previous benefits that were accessed by 16 – 18 year old parents. Generally in order to be able to receive the Young Parent Payment a young person is required to be in, or available for, full time education, approved training or work based learning
- the Act also introduced a range of obligations that young people receiving either the Youth Payment or the Young Parent Payment are required to meet (for example in relation to budgeting and parenting courses). Young people who fail to meet their obligations can have the level of their payment reduced.
- the Act also introduced a new system of money management for young people to assist them to manage their money more effectively.

The Act also introduced the first of the welfare reform changes in relation to availability and preparation for work. These came into effect on 15 October 2012 and include:

- lowering the age of the youngest dependent child to five from six for the commencement of part - time work availability expectations¹¹
- lowering the age of the youngest dependent child from 18 to 14 for the commencement of full - time work availability for both sole parents and the spouses and partners of beneficiaries
- introduce part-time work availability expectations for people receiving Widow's Benefit with dependent children aged 5 – 14
- introduce full-time work availability expectations for people receiving Widow's Benefit or Domestic Purposes Benefit- Women Alone whose youngest dependent child is 14 years or older, or who have no children

¹¹ 'Work availability expectations' is the term that is now being used for what has previously been referred to as the work test.

Reference date for all information is **July 1st 2013 unless otherwise stated.**

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The Act also changed the number of hours of work in relation to a particular job that someone can be required to accept to make the system more flexible. For full time work this was changed from 30 hours a week to a range of 20 – 40 hours a week and for part-time work this was changed from 15 hours a week to a range of 10-20 hours a week.

12.1 Policy changes introduced: 2nd July 2012 – 1st July 2013: Better Public Services 98% target

Government has a Better Public Services (BPS) target that by 2016, 98% of children starting school will have participated in quality early childhood education. This is because regular participation in quality early childhood education significantly increases a child's chance of future educational success and those currently least likely to access ECE have the most to gain from it.

To support this target, the Ministry has continued with the ECE Participation programme, which was established in 2010 to support priority groups: Māori and Pasifika children; and children from lower socio-economic areas, to access ECE. The Participation Programme addresses multiple barriers to participation through a range of initiatives that:

1. ensure solutions are appropriate to particular local communities
2. improve the responsiveness of ECE services to the needs of non-participating children and their families by using different models of provision
3. increase the supply of ECE services in target communities through full and partial funding of property projects and one-off grants
4. intensify support to three and four year olds and their families resulting in enrolment in ECE, regular participation, support for learning at home and a successful transition to school.

The Minister of Education also established an Early Learning Taskforce to scale up these participation efforts, and develop new and innovative ways to engage, and accelerate the pace to achieve the 98% target.

The results from this work are reflected in the latest participation data, with prior participation rates up to 95.8% for the year ending September 2013 (from 95.1% at the same time last year). This is the biggest annual increase in a decade. Although this policy does not have a direct impact on the tax benefit system, it does influence policy thinking on how to best support priority group through tax benefits.

12.2 Policy changes introduced since 1st July 2013

The second part of the comprehensive package of benefit reforms were enacted through the Social Security (Benefit Categories and Work Focus) Amendment Act 2013, effective from 15 July 2013. The first stage of these reforms is outlined above. The second stage changes fall into five broad areas:

1. a new system of main benefits, to embed a work-focus throughout the benefit system for those able to work
2. a new approach to working with people in the benefit system who are either sick or disabled
3. work-test obligations widened to include undertaking and passing drug tests for jobs or training programmes where drug testing is a prerequisite, matched with financial sanctions for non-compliance

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4. using the welfare system to reinforce important social norms relating to children's education and health, such as obligations on beneficiaries to:
 - have their children attending Early Childhood Education (ECE) from the age of three until they start school
 - have their children attending school, from age five or six – whenever they start school
 - have their children enrolled in primary health care
 - complete the core checks under WellChild/Tamariki Ora services
5. enabling benefit payments to be stopped for beneficiaries with a warrant to arrest in criminal proceedings, which remain unresolved 28 days from issue, provided the beneficiary is given appropriate notice and an opportunity to clear the warrant. Where public safety is at risk, no notice period will apply

12.2 *Future policy changes announced but not yet implemented*

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD Revenue Statistics.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, inter alia, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasi-compulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.